01 Ch 01 – Financial Policy and Corporate Strategy

Asked in last 3 papers: Sep 2025 theory (financial sustainability, 4m) · Jan 2026 numerical (EFR, 4m) · May 2026 theory (SGR vs target growth, loan request, 4m).

1. Advanced Role of CFO in Various Matters including Value Creation

→ **Traditional role:** wealth maximisation for shareholders — financial health, adequate **financial controls**; governance, compliances, controls, business ethics.

→ Expanded by **globalisation**, growth in information and communications, **pandemic**; now also support in **strategic and operational decision making**.

Post-pandemic advanced areas (in addition to traditional role):

→ **Risk Management:** look after overall functioning of the risk management framework.

→ **Supply Chain:** SCM challenges sustainable growth; CFO judges its **financial viability** — role more critical.

→ **Mergers, acquisitions and corporate restructuring:** strategic decisions; any error can lead to **collapse of the whole business**.

→ **ESG financing:** shift from traditional financing to **sustainability financing**.

Conclusion: CFO takes a **leadership role in value creation**, on a **sustainable basis** for a longer period.

2. Strategic Financial Decision-Making Framework

→ **Capital investment is the springboard for wealth creation.** Investors want maximum expected return at minimum risk; management is responsible to investors → objective: **maximisation of shareholders' wealth**.

→ **Capital is the limiting factor** → problem is **strategic allocation of limited funds** between alternative uses.

→ Three fundamental elements of every business: a **clear and realistic strategy**; the **financial resources, controls and systems** to see it through; the **right management team and processes**.

Strategy + Finance + Management = Fundamentals of Business

→ **Strategy** = long-term direction and scope of an organisation to achieve **competitive advantage** through configuration of resources within a changing environment, for fulfilment of stakeholders' aspirations and expectations.

→ Investors care not only about maximum profit but its **likelihood** — a **risk-return trade-off** from a portfolio, unique for each individual.

2.1 Meaning of Strategic Financial Management

→ **Definition:** application of financial management techniques to **strategic decisions** to help achieve the decision-maker's objectives.

→ Combines backward-looking, report-focused **(financial) accounting** with dynamic, forward-looking **financial management**.

→ Identifies strategies capable of **maximising market value**; allocates **scarce capital** among competing opportunities; covers **implementation and monitoring** of the chosen strategy.

2.2 Functions of Strategic Financial Management

→ SFM = portfolio constituent of the corporate strategic plan: optimum **investment and financing** decisions to attain objectives.

Level of planning	Horizon	Decided by
Strategic	Long-term course of action	Senior management
Tactical	Intermediate plan	Middle level
Operational	Short-term functions	Line management

Functions (irrespective of time horizon):

- → **Continual search** for best investment opportunities;
- → **Selection** of the best profitable opportunities;
- → Determination of **optimal mix of funds**;
- → Establishment of systems for **internal controls**;
- → **Analysis of results** for future decision-making.

Key decisions within financial strategy:

- → **Financing:** mode of financing / mix of equity and debt.
- → **Investment:** profitable use of funds in long-term (capital) projects; future benefits uncertain → involve **risk**; evaluated on expected return and risk.
- → **Dividend:** division of earnings between payout and **reinvestment**.
- → **Portfolio:** evaluate investments by contribution to **aggregate performance of the whole corporation**, not isolated characteristics.

3. Strategy at Different Hierarchy Levels

Outcomes of different planning needs. Three levels: **Corporate**; **Business unit**; **Functional / departmental**.

3.1–3.3 Corporate, Business Unit and Functional Level Strategy

Level	Concerned with
3.1 Corporate	**Selection of businesses** in which to compete; development and coordination of that **portfolio of businesses**.
3.2 Business unit (SBU)	SBU = any profit centre planned independently. Issues: practical **coordination of operating units**; developing and sustaining **competitive advantage** for its products/services.
3.3 Functional	Operating divisions/departments; **functional business processes and value chain** (R&D, operations, manufacturing, marketing, finance, HR) — the resources through which SBU strategies are executed effectively and efficiently.

Corporate level strategy must answer three questions:

- → **Suitability:** will it work for the common objective of the company?
- → **Feasibility:** kind and number of resources required to formulate and implement it.
- → **Acceptability:** stakeholders' satisfaction — financial and non-financial.
- → Functional units give **input upward** (customer feedback, resources and capabilities); once higher strategy is set, they translate it into **discrete action plans**.
- → **Finance assumes highest importance** in top-down and bottom-up planning. Corporate strategy = **deployment** of resources; financial strategy = **mobilisation and effective utilisation of money**, the most critical resource — other resources are easily mobilised with an adequate monetary base.

4. Financial Planning

- → **Backbone** of business and corporate planning; defines the **feasible area of operation** and the overall planning framework.
- → Systematic approach: planner helps the customer **maximise existing financial resources** using financial tools to achieve financial goals.

Financial Planning = FR + FT + FG — Financial Resources + Financial Tools + Financial Goals.

→ **Individual:** meeting life goals (house, children's education, retirement) through specific steps — where you are now, what you need, what you must do.

Outcomes of financial planning:

→ **Financial objectives** — decided at the very outset; consistent with corporate mission and objectives.

→ **Financial decision making** — analyse financial problems faced and decide course of action.

→ **Financial measures** — ratio analysis, cash flow statement analysis to evaluate performance; choice depends on corporate objectives.

5. Interface of Financial Policy and Strategic Management

TYK T1 (answer: para 5).

→ **Starting point and end point** of an organisation is **money**; no business or expansion without an internally (or internally + externally) mobilised financial base.

Dimensions of the interface:

→ **Sources of finance and capital structure** (most important dimensions of a strategic plan):

  → Ownership capital — equity and/or preference shares; borrowed capital — debentures.

  → **Public deposits** for fixed period — major short/medium-term source (may offer higher interest than banks).

  → Short-term: overdraft, cash credit, bill discounting, bank loan, trade credit.

  → **Debt-equity norms** to minimise risk of excessive loans: public sector **1:1**, private sector **2:1**; ideal varies by industry and planning mode; much higher debt for **capital-intensive** industries, high-cost priority-sector projects, projects in underdeveloped regions.

→ **Investment and fund allocation decisions:** policies for investment in fixed assets and restraining current assets. Three groups of proposals:

  → addition of a **new product**;

  → **increase level of operation** of existing product (more capacity in existing plant or another plant);

  → **cost reduction** and efficient use of resources (new approach / closer monitoring of critical activities).

  Evaluate by **within-group comparison** using capital budgeting; **project evaluation and project selection** are the two most important jobs; best allocation under resource constraints.

→ **Dividend policy:** extent of earnings distributed vs retained for expansion. Dividend = part of earnings that **cannot be profitably utilised** by the company.

  → **Stable dividend** — positive impact on share price.

  → **Constant % of net earnings** — flexibility and ability of firm; message of lesser risk.

  → **Minimum DPS + extra** when earnings exceed normal.

  → Consider investment opportunities, financial needs, shareholders' preference (dividend vs capital gains), **cash vs stock dividend**.

→ Financial policy **cannot be worked out in isolation** of other functional policies; investors' awareness and stakeholders' evaluation make patronage depend on the financial policy framework.

→ Frame financial policies **during corporate planning itself**, not later.

→ **Two-way interdependence:** sometimes corporate strategy is the cause and financial policy the effect, sometimes the reverse — needs in-depth analytical modelling.

6. Balancing Financial Goals vis-à-vis Sustainable Growth

Asked: Sep 2025 Q2(c) 4m

TYK T2 (answer: para 6).

- → *Sustainable growth forces managers to consider the **financial consequences of sales increases** and set sales growth goals **consistent with operating and financial policies**; conflict if growth objectives exceed sustainable growth.*
- → *Rightness for **future stakeholders** too: fuel industry's **save fuel campaign** = **demarketing** → example of **stable growth strategy** under resource constraints. Variants of stable growth: **incremental growth, profit, pause** strategies.*
- → ***Too fast or too slow** growth both harm the enterprise; finance should keep growth speed **close to the sustainable growth ratio**.*

***What makes an organisation financially sustainable?** It must:*

- → *have **more than one source** of income;*
- → *have **more than one way** of generating income;*
- → *do **strategic, action and financial planning** regularly;*
- → *have **adequate financial systems**;*
- → *have a **good public image**;*
- → *be clear about its values (**value clarity**);*
- → *have **financial autonomy**.*

6.1 Sustainable Growth Rate

Asked: May 2026 Q1(c) 4m

- → ***SGR** (Robert C. Higgins) = **maximum rate of growth in sales** achievable given the firm's **profitability, asset utilisation, desired dividend payout and debt (financial leverage) ratios**.*
- → *Measures how much a firm can grow **without borrowing more money**; beyond it, the firm must borrow from another source.*
- → *Variables: **net profit margin** on new and existing revenues; **asset turnover** (sales ÷ total assets); **assets to equity** ratio; **retention rate** (fraction of earnings retained).*

Formula	Terms / logic
SGR = ROE × (1 − Dividend payout ratio)	ROE = return on equity; (1 − d) = retention rate. Logic: only new equity is retained earnings, and the asset to beginning-of-period equity ratio is constant (debt grows in step) → sales and assets grow no faster than retained earnings plus the debt they support.

Note (app-written): ROE itself is built from the SM's other three variables — net profit margin × asset turnover × assets to equity — so SGR moves up with any of the four.

Assumptions — the business wants to:

- → *maintain a **target capital structure** without issuing new equity;*
- → *maintain a **target dividend payout** ratio;*
- → *increase sales **as rapidly as market conditions allow**.*
- → *Consistent with evidence that corporations are **reluctant to issue new equity**; if willing to issue equity, there is in principle **no financial constraint** on growth. Formula is directly predicated on ROE.*
- → ***Twin cornerstones: growth strategy** and **growth capability** — strategy without infrastructure to execute (or the reverse) → long-term growth impossible.*
- → ***Concepts of sustainability: very weak** — overall stock of capital assets remains constant; **weak** — preserve critical resources to support all over a long horizon; **strong** — preserve resources under primacy of **ecosystem functioning**.*

***What makes an organisation sustainable?** It must:*

→ have a **clear strategic direction**;
→ be able to **scan its environment** to identify opportunities;
→ be able to **attract, manage and retain competent staff**;
→ have adequate **administrative and financial infrastructure**;
→ demonstrate **effectiveness and impact** to leverage further resources;
→ get **community support** and involvement.

Use of SGR model:

→ **Borrower requests additional financing** (actual growth > SGR): risk of **too much debt, too little equity** → either **raise additional equity**, or **reduce the rate of expansion** to a level sustainable without more financial leverage.
→ **Mature firms** (actual growth < SGR): find productive uses of excess cash — **increase dividends / buy back stock**, **reduce debt**, or hold more **lower-earning liquid assets** (these lower SGR); or **acquire rapidly growing companies** to raise actual growth.
→ **Inflation:** growth = volume + inflation; inflationary asset increase must be financed like real growth → more external financing and higher historical-cost D/E → if creditors fix historical D/E, **inflation lowers SGR**.

Mitsubishi Corporation (SM case): dropped fixed 3-year "midterm management plan" for a long-term circa-2020 growth vision ("New Strategic Direction"); aim — stable earnings through business cycles by a portfolio diversified by business model, industry, market and geography; "Three Corporate Principles". Summary:

→ **Future pull** approach eyeing 2020 — double the business with a diversified but focussed portfolio;
→ **Clear portfolio strategy** — select winning businesses by proactive reshaping;
→ Grow and deliver returns while keeping **financial discipline**.

6.2 External Funding Requirement (EFR)

Asked: Jan 2026 Q2(b) 4m

→ Growth needs both current and non-current assets to rise. When management also has concerns on **Debt-to-Equity** or **Current Ratio**, compute EFR and **its types** (short-term, long-term, equity).

6.2.1 Analytical Approach

→ Analyse **each balance-sheet item** in relation to change in sales, and fix amounts under prescribed conditions (specific D/E, current ratio etc.).

6.2.2 Formula based Approach

Formula	Terms / logic	SM figures (Sundry Ltd)
EFR = (TA ÷ Sales) × ΔS − (Payables and Liabilities ÷ Sales) × ΔS − m × S_1 × (1 − d)	TA = total assets; ΔS = change in sales; S_1 = revised sales; Payables and Liabilities = those that change **spontaneously** with sales; m = net profit after tax %; d = payout. Logic: extra assets needed − spontaneous liabilities − retained profit.	(14000 ÷ 6000 − 2000 ÷ 6000) × 1200 − 0.04 × 7200 × 0.5 = **₹ 2256 lakhs**
Then: split EFR by equations from given conditions	Short-term → ratio condition; long-term → FA / LTL; balance → equity	Nil; 800; 1456

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Illus 1 (Sundry Ltd, ₹ lakhs): *BS 31-03-2023: Share capital 3000, Reserves 2000, LTL 4000, STL 3000, Payables & provisions 2000 = 14000; FA 6000, Inventory 5000, Receivables 2400, Cash 600. Sales 6000, growth 20%, margin 4%, payout 50%. Conditions: Sales : (STL + payables & provisions) = 4 : 3; FA ÷ LTL = 1.5; D/E ≤ 1.5.*

(i) EFR (analytical): *sales 7200; profit 288; dividend 144; ploughed back (A)* ***144****; additional funds (14000 − 2000) × 0.20 (B)* ***2400*** *(payables rise with sales); EFR = B − A =* ***2256****.*

(ii) Split: *Short-term: new STL + payables = 3 × 7200 ÷ 4 = 5400; existing 2000 × 1.20 + 3000 = 5400 →* ***Nil****. Long-term: new FA 7200; new LTL 7200 ÷ 1.5 = 4800; less 4000 →* ***800****. Equity: 2256 − 0 − 800 =* ***1456****.*

Formula approach (alt.): *6000 × 1.2 ÷ 4 = (2000 × 1.2 + X) ÷ 3 → X = 3000 (existing 3000 → 0 extra); 1.5 = 6000 × 1.2 ÷ Y → Y = 4800 (extra 800); equity 1456. Check: New DER = 4800 ÷ (3000 + 1456 + 2000 + 144) =* ***0.727*** *≤ 1.5 → condition satisfied.*

Note (app-written): ICAI's DER check takes only long-term loans (4800) as debt. Even with short-term loans (3000) added, debt = 7800 ÷ 6600 = 1.18, still within 1.5, so the conclusion stands.

Exam steps — EFR (both approaches): *1 → $S_1 = S \times (1 + g)$, $\Delta S = S_1 - S$ → 2 → retained profit = $m \times S_1 \times (1 - d)$ → 3 → asset increase = (TA − spontaneous liabilities) × g (or (TA ÷ S − P ÷ S) × ΔS) → 4 → EFR = 3 − 2 → 5 → short-term from ratio condition, long-term from FA ÷ LTL, balance = equity → 6 → check D/E (and current ratio if given).*

App-written: if the question says fixed assets have spare capacity (as in Jan 2026), grow only the assets that must grow with sales before step 3.

Exam steps — SGR theory: *1 → SGR = ROE × (1 − d), growth without new equity or more leverage → 2 → target growth > SGR + loan request = too much debt, too little equity → 3 → two alternatives: raise additional equity, or cut expansion to SGR level (mature firm below SGR: dividends/buyback, repay debt, liquid assets, acquisitions).*

① Financial Policy and Corporate Strategy — what ICAI asked (Sep 2025, Jan 2026, May 2026)

12 marks *set across the last three attempts (3.4% of marks set). Question labels and marks are ICAI's; the one-line concept descriptions are app-written.*

Attempt	Question	Marks	Concept tested
Sep 2025	*Q2(c)*	*4*	*Key points that make an organisation financially sustainable (Theory)*
Jan 2026	*Q2(b)*	*4*	*External funding requirement (AFN) next year at 65% and 95% fixed-asset capacity usage with a given sales growth and payout ratio (Numerical)*
May 2026	*Q1(c)*	*4*	*Sustainable growth rate versus target growth: concerns on an additional loan request and two alternative courses of action (Theory)*

What follows, exactly as ICAI printed it in the AFM study material: (1) Test Your Knowledge theory questions, with the SM paragraph ICAI's answer points to; (2) every SM illustration with ICAI's solution, grouped by SM section; (3) Test Your Knowledge practical questions with ICAI's solutions.

Theory questions (SM Test Your Knowledge) with ICAI answers

Theory Q1

1. Explain the Interface of Financial Policy and Strategic Management.

ICAI answer: "Please refer paragraph 5" – SM paragraph 5 reproduced

5. INTERFACE OF FINANCIAL POLICY AND STRATEGIC MANAGEMENT

The interface of strategic management and financial policy will be clearly understood if we appreciate the fact that the starting point of an organization is money and the end point of that organization is also money. No organization can run an existing business and promote a new expansion project without a suitable internally mobilized financial base or both i.e. internally and externally mobilized financial base.

Sources of finance and capital structure are the most important dimensions of a strategic plan. The need for fund mobilization to support the expansion activity of firm is very vital for any organization. The generation of funds may arise out of ownership capital and or borrowed capital. A company may issue equity shares and/or preference shares for mobilizing ownership capital and debentures to raise borrowed capital. Public deposits, for a fixed time period, have also become a major source of short and medium-term finance. Organizations may offer higher rates of interest than banking institutions to attract investors and raise fund. The overdraft, cash credits, bill discounting, bank loan and trade credit are the other sources of short-term finance.

Along with the mobilization of funds, policy makers should decide on the capital structure to indicate the desired mix of equity capital and debt capital. There are some norms for debt equity ratio which need to be followed for minimizing the risks of excessive loans. For instance, in case of public sector organizations, the norm is 1:1 ratio and for private sector firms, the norm is 2:1 ratio. However, this ratio in its ideal form varies from industry to industry. It also depends on the planning mode of the organization. For capital intensive industries, the proportion of debt to equity is much higher. Similar is the case for high cost projects in priority sectors and for projects in underdeveloped regions.

Another important dimension of strategic management and financial policy interface is the investment and fund allocation decisions. A planner has to frame policies for regulating investments in fixed assets and for restraining of current assets. Investment proposals mooted by different business units may be divided into three groups. One type of proposal will be for addition of a new product by the firm. Another type of proposal will be to increase the level of operation of an existing product through either an increase in capacity in the existing plant or setting up of another plant for meeting additional capacity requirement. The last is for cost reduction and efficient utilization of resources through a new approach and/or closer monitoring of the different critical activities. Now, given these three types of proposals a planner should evaluate each one of them by making within group comparison in the light of capital budgeting exercise. In fact, project evaluation and project selection are the two most important jobs under fund allocation. Planner's task is to make the best possible allocation under resource constraints.

Dividend policy is yet another area for making financial policy decisions affecting the strategic performance of the company. A close interface is needed to frame the policy to be beneficial for all. Dividend policy decision deals with the extent of earnings to be distributed as dividend and the extent of earnings to be retained for future expansion scheme of the firm. From the point of view of long-term funding of business growth, dividend can be considered as that part of total earnings, which cannot be profitably utilized by the company. Stability of the dividend payment is a desirable consideration that can have a positive impact on share prices. The alternative policy of paying a constant percentage of the net earnings may be preferable from the point of view of both flexibility of the firm and ability of the firm. It also gives a message of lesser risk for the investors. Yet some other companies follow a different alternative. They pay a minimum dividend per share and additional dividend when earnings are higher than the normal earnings. In actual practice, investment opportunities and financial needs of the firm and the shareholders preference for dividend against capital gains resulting out of share are to be taken into consideration for arriving at the right dividend policy. Alternatives like cash dividend and stock dividend are also to be examined while working out an ideal dividend policy that supports and promotes the corporate strategy of the company.

Thus, the financial policy of a company cannot be worked out in isolation of other functional policies. It has a wider appeal and closer link with the overall organizational performance and direction of growth. These policies being related to external awareness about the firm, especially the awareness of the investors about the firm, in respect of its internal performance. There is always a process of evaluation active in the minds of the current and future stake holders of the company. As a result preference and patronage for the company depends significantly on the financial policy framework. Hence, attention of the corporate planners must be drawn while framing the financial policies not at a later stage but during the stage of corporate planning itself. The nature of interdependence is the crucial factor to be studied and modelled by using an in-depth analytical approach. This is a very difficult task compared to usual cause and effect study because corporate strategy is the cause and financial policy is the effect and sometimes financial policy is the cause and corporate strategy is the effect.

ICAI answer: "Please refer paragraph 5" – SM paragraph 5 reproduced

5. INTERFACE OF FINANCIAL POLICY AND STRATEGIC MANAGEMENT

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Sources of finance and capital structure are the most important dimensions of a strategic plan. The need for fund mobilization to support the expansion activity of firm is very vital for any organization. The generation of funds may arise out of ownership capital and or borrowed capital. A company may issue equity shares and/or preference shares for mobilizing ownership capital and debentures to raise borrowed capital. Public deposits, for a fixed time period, have also become a major source of short and medium-term finance. Organizations may offer higher rates of interest than banking institutions to attract investors and raise fund. The overdraft, cash credits, bill discounting, bank loan and trade credit are the other sources of short-term finance.

Along with the mobilization of funds, policy makers should decide on the capital structure to indicate the desired mix of equity capital and debt capital. There are some norms for debt equity ratio which need to be followed for minimizing the risks of excessive loans. For instance, in case of public sector organizations, the norm is 1:1 ratio and for private sector firms, the norm is 2:1 ratio. However, this ratio in its ideal form varies from industry to industry. It also depends on the planning mode of the organization. For capital intensive industries, the proportion of debt to equity is much higher. Similar is the case for high cost projects in priority sectors and for projects in underdeveloped regions.

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Thus, the financial policy of a company cannot be worked out in isolation of other functional policies. It has a wider appeal and closer link with the overall organizational performance and direction of growth. These policies being related to external awareness about the firm, especially the awareness of the investors about the firm, in respect of its internal performance. There is always a process of evaluation active in the minds of the current and future stake holders of the company. As a result preference and patronage for the company depends significantly on the financial policy framework. Hence, attention of the corporate planners must be drawn while framing the financial policies not at a later stage but during the stage of corporate planning itself. The nature of interdependence is the crucial factor to be studied and modelled by using an in-depth analytical approach. This is a very difficult task compared to usual cause and effect study because corporate strategy is the cause and financial policy is the effect and sometimes financial policy is the cause and corporate strategy is the effect.

Theory Q2

2. Write a short note on Balancing Financial Goals vis-a-vis Sustainable Growth.

ICAI answer: "Please refer paragraph 6" – SM paragraph 6 reproduced

6. BALANCING FINANCIAL GOALS VIS-A-VIS SUSTAINABLE GROWTH

The concept of sustainable growth can be helpful for planning healthy corporate growth. This concept forces managers to consider the financial consequences of sales increases and to set sales growth goals that are consistent with the operating and financial policies of the firm. Often, a conflict can arise if growth objectives are not consistent with the value of the organization's sustainable

growth. Question concerning right distribution of resources may take a difficult shape if we take into consideration the rightness not for the current stakeholders but for the future stakeholders also. To take an illustration, let us refer to fuel industry where resources are limited in quantity and a judicial use of resources is needed to cater to the need of the future customers along with the need of the present customers. One may have noticed the save fuel campaign, a demarketing campaign that deviates from the usual approach of sales growth strategy and preaches for conservation of fuel for their use across generation. This is an example of stable growth strategy adopted by the oil industry as a whole under resource constraints and the long run objective of survival over years. Incremental growth strategy, profit strategy and pause strategy are other variants of stable growth strategy.

Sustainable growth is important to enterprise long-term development. Too fast or too slow growth will go against enterprise growth and development, so financial should play important role in enterprise development, adopt suitable financial policy initiative to make sure enterprise growth speed close to sustainable growth ratio and have sustainable healthy development.

What makes an organisation financially sustainable?

To be financially sustainable, an organisation must:

- have more than one source of income;
- have more than one way of generating income;
- do strategic, action and financial planning regularly;
- have adequate financial systems;
- have a good public image;
- be clear about its values (value clarity); and
- have financial autonomy.

Source: CIVICUS "Developing a Financing Strategy".

6.1 Sustainable Growth Rate

The sustainable growth rate (SGR), concept by Robert C. Higgins, of a firm is the maximum rate of growth in sales that can be achieved, given the firm's profitability, asset utilization, and desired dividend payout and debt (financial leverage) ratios. The sustainable growth rate is a measure of how much a firm can grow without borrowing more money. After the firm has passed this rate, it must borrow funds from another source to facilitate growth. Variables typically include the net profit margin on new and existing revenues; the asset turnover ratio, which is the ratio of sales revenues to total assets; the assets to equity ratio; and the retention rate, which is defined as the fraction of earnings retained in the business.

SGR = ROE x (1- Dividend payment ratio)

Sustainable growth models assume that the business wants to:

1) maintain a target capital structure without issuing new equity;

2) maintain a target dividend payment ratio; and

3) increase sales as rapidly as market conditions allow.

Since the asset to beginning of period equity ratio is constant and the firm's only source of new equity is retained earnings, sales and assets cannot grow any faster than the retained earnings plus the additional debt that the retained earnings can support. The sustainable growth rate is consistent with the observed evidence that most corporations are reluctant to issue new equity. If, however, the firm is willing to issue additional equity, there is in principle no financial constraint on its growth rate. Indeed, the sustainable growth rate formula is directly predicted on return on equity.

Economists and business researchers contend that achieving sustainable growth is not possible without paying heed to twin cornerstones:

- growth strategy and
- growth capability.

Companies that pay inadequate attention to one aspect or the other are doomed to fail in their efforts to establish practices of sustainable growth (though short-term gains may be realized). After all, if a company has an excellent growth strategy in place but has not put the necessary infrastructure in place to execute that strategy, long-term growth is impossible. The reverse is also true.

The very weak idea of sustainability requires that the overall stock of capital assets should remain constant. The weak version of sustainability refers to preservation of critical resources to ensure support for all, over a long-time horizon. The strong concept of sustainability is concerned with the preservation of resources under the primacy of ecosystem functioning. These are in line with the definition provided by the economists in the context of sustainable development at macro level.

What makes an organisation sustainable?
In order to be sustainable, an organisation must: ➢ have a clear strategic direction; ➢ be able to scan its environment or context to identify opportunities for its work; ➢ be able to attract, manage and retain competent staff; ➢ have an adequate administrative and financial infrastructure; ➢ be able to demonstrate its effectiveness and impact in order to leverage further resources; and ➢ get community support for, and involvement in its work.

Source: CIVICUS "Developing a Financing Strategy".

The sustainable growth model is particularly helpful in situations in which a borrower requests additional financing. The need for additional loans creates a potentially risky situation of too much debt and too little equity. Either additional equity must be raised, or the borrower will have to reduce the rate of expansion to a level that can be sustained without an increase in financial leverage.

Mature firms often have actual growth rates that are less than the sustainable growth rate. In these cases, management's principal objective is finding productive uses for the cash flows that exist in excess of their needs. Options available to business in such cases includes returning the money to shareholders through increased dividends or common stock repurchases, reducing the firm's debt load, or increasing possession of lower earning liquid assets. These actions serve to decrease the sustainable growth rate. Alternatively, these firms can attempt to enhance their actual growth rates through the acquisition of rapidly growing companies.

Growth can come from two sources: increased volume and inflation. The inflationary increase in assets must be financed as though it were real growth. Inflation increases the amount of external financing required and increases the debt-to-equity ratio when this ratio is measured on a historical cost basis. Thus, if creditors require that a firm's historical cost debt-to-equity ratio stay constant, inflation lowers the firm's sustainable growth rate.

Mitsubishi Corporation (MC): New Strategic Direction (charting a new path toward sustainable growth)
Mitsubishi Corporation has abolished its traditional "*midterm management plan*" concept of committing to fixed financial targets three years in the future, in favour of a long-term, circa 2020 growth vision. The "*New Strategic Direction*" consists of basic concepts on management policy together with business and market strategies. It seeks to recognize the Company's value and upside potential as

a *sogo shosha* capable of "*providing stable earnings throughout business cycles by managing a portfolio diversified by business model, industry, market and geography*".

MC remains dedicated to sustainable growth but as evidenced by its guiding philosophy, the "Three Corporate Principles", its business activities are even more committed to helping solve problems in Japan and around the world. Its chief goal is to contribute to sustainable societal growth on a global scale.

The summary of this New Strategic Direction is:

- Future pull approach eyeing 2020 with a vision to double the business by building a diversified but focussed portfolio.
- Clear portfolio strategy: Select winning businesses through proactive reshaping of portfolio.
- Grow business and deliver returns while maintaining financial discipline.

6.2 External Funding Requirement (EFR)

We know that to make any business grow, it is essential to increase both current and non-current assets. As discussed earlier, the Sustainable Growth Rate is the maximum rate of growth in sales that can be achieved, given the firm's profitability, asset utilization, desired dividend payout, and debt (financial leverage) ratios.

Similarly, management may sometimes have concerns about the Debt-to-Equity Ratio or Current Ratio. In such situations, to maintain a certain level of growth, it becomes necessary to determine the amount of External Funding Requirement (EFR) and its types. To compute this requirement and the type of funding, the following approaches can be used:

6.2.1 Analytical Approach

In this approach, we begin by analyzing each item on the balance sheet in relation to changes in sales and determine their amounts while considering prescribed conditions, such as maintaining specific Debt-to-Equity or Current Ratios, among others.

6.2.2 Formula based Approach

In this approach, we first calculate the amount of EFR using the following formula:

$$EFR = \frac{TA}{Sales} \times \Delta S - \frac{Payable\,and\,Liabilities}{Sales} \times \Delta S - mS_1(1 - d)$$

Where:

ΔS = Change in Sales

S_1 = Revised Sales

TA = Total Assets

Payable and Liabilities = Payables and liabilities that change spontaneously in accordance with level of sales.

m = Profit Multiplier or percentage of Net Profit after Tax

d = Dividend Pay-out Ratio

After that we use equations to compute the amount to be raised from different sources under the given conditions.

Let discuss an illustration to understand both the approaches.

Illustration

The Balance Sheet of M/s. Sundry Ltd. as on 31-03-2023 is follows:

(₹ in lakhs)

Liabilities	₹	Assets	₹
Share Capital	3000	Fixed Assets	6000
Reserves	2000	Inventory	5000
Long Term Loan	4000	Receivables	2400
Short Term Loan	3000	Cash	600
Payables & Provisions	2000		
Total	**14000**	**Total**	**14000**

Sales for the year was ₹ 6000 lakhs. The sales are expected to grow by 20% during the year. The profit margin and dividend pay-out ratio are expected to be 4% and 50% respectively.

The company further desires that during the current year Sales to Short Term Loan and Payables and Provision should be in the ratio of 4 : 3. Ratio of fixed assets to Long Term Loans should be 1.5. Debt Equity Ratio should not exceed 1.5.

You are required to determine:

(i) The amount of External Fund Requirement (EFR)

(ii) The amount to be raised from Short Term & Long Term Funds and issue of new Equity.

Solution

(i) External Funds Requirement (EFR):

	(₹ in lakhs)
Expected sales (₹ 6000 + 20% of ₹ 6000)	7200.00
Profit margin @ 4%	288.00
Dividend payout ratio @ 50%	144.00
Balance to be ploughed back (A)	144.00
Additional funds required (₹ 14000 - ₹ 2000*) x 0.20 (B)	2400.00
Balance to be met from external source (B - A)	**2256.00**

* As current liabilities shall also be increased proportionately with increase in sales.

(ii) Amount to be raised from different sources with following conditions:

- Sales to short term loans and payables & provisions 4:3
- Ratio of fixed assets to long term loans 1.5
- Debt equity ratio should not exceed 1.5

(1) Amount to be raised from Short Term Funds:

	(₹ in lakhs)
New amount of short-term loans and payables & provision $\left(\frac{3}{4} \times 7200\right)$	5400
Less: Existing Amount of short-term loans and payables & provision (2000 X 1.20 + 3000)	5400
Amount to be raised from short term funds	Nil

(2) Amount to be raised from Long Term Funds:

	(₹ in lakhs)
New fixed assets (₹ 6000 + 20% of ₹ 6000)	7200
New long-term loans as per given condition (₹ 7200/1.5)	4800
Less: Existing long-term loans	4000
Amount to be raised from Long term funds	800

(3) Amount to be raised from Equity:

	(₹ in lakhs)
Amount to be raised from external sources	2256.00
Less: Amount to be raised from short term funds	----
Less: Amount to be raised from Long term funds	800.00
Balance amount to be raised from the new Equity	1456.00

Alternative Solution as per Formula Approach

(i) External Funds Requirement (EFR)

$$EFR = \left(\frac{TA}{S} - \frac{P}{S}\right) x\ \Delta S - N \times \text{Projected Sales} \times (1 - d)$$

Where,

TA = Total Assets

S = Current Sales

P = Payables and Provisions

ΔS = Change in Sales

N = Net Profit Margin Ratio

d = Dividend Payout Ratio

Accordingly,

$$EFR = \left(\frac{1,4000}{6000} - \frac{2000}{6000}\right) x\ 1200 - 0.04 \times 7200 \times 0.5 = ₹\ 2256 \text{ lakhs}$$

(ii) Funds to be raised from Various Sources

(1) Short Term Funds

Let X be the new Short-Term Loan then meeting the given condition the Additional Requirement shall be computed as follows:

$$\frac{4}{3} = \frac{6000 \times 1.2}{2000 \times 1.2 + X}$$

X = 3000.00

New Short-Term Loans required	₹ 3000.00 lakhs
Less: Existing	₹ 3000.00 lakhs
Additional requirement	0.00 lakhs

(2) Long term funds

Let Y be the new Long -Term Loans then meeting the given condition the Additional Requirement shall be computed as follows:

$$1.5 = \frac{FA}{\text{Long term loans}}$$

$$1.5 = \frac{6000 \times 1.2}{Y}$$

Y = 4800

New Long Term Loans	₹ 4800.00 Lakhs
Existing	₹ 4000.00 Lakhs
Additional Long Term Fund to be raised	₹ 800.00 Lakhs

(3) Equity to be raised

EFR	₹ 2256.00 Lakhs
Less: Amt. to be raised from Short Term Loans	0.00 Lakhs
Amt. to be raised from Long term Loans	₹ 800.00 Lakhs
Equity to be raised	₹ 1456.00 Lakhs

$$\text{New DER} = \frac{\text{Debt}}{\text{Shareholder's Fund}}$$

$$= \frac{4800}{3000 + 1456 + 2000 + 144} = 0.727$$

Thus, required condition is satisfied.

ICAI answer: "Please refer paragraph 6" — SM paragraph 6 reproduced

6. BALANCING FINANCIAL GOALS VIS-A-VIS SUSTAINABLE GROWTH

The concept of sustainable growth can be helpful for planning healthy corporate growth. This concept forces managers to consider the financial consequences of sales increases and to set sales growth goals that are consistent with the operating and financial policies of the firm. Often, a conflict can arise if growth objectives are not consistent with the value of the organization's sustainable

growth. Question concerning right distribution of resources may take a difficult shape if we take into consideration the rightness not for the current stakeholders but for the future stakeholders also. To take an illustration, let us refer to fuel industry where resources are limited in quantity and a judicial use of resources is needed to cater to the need of the future customers along with the need of the present customers. One may have noticed the save fuel campaign, a demarketing campaign that deviates from the usual approach of sales growth strategy and preaches for conservation of fuel for their use across generation. This is an example of stable growth strategy adopted by the oil industry as a whole under resource constraints and the long run objective of survival over years. Incremental growth strategy, profit strategy and pause strategy are other variants of stable growth strategy.

Sustainable growth is important to enterprise long-term development. Too fast or too slow growth will go against enterprise growth and development, so financial should play important role in enterprise development, adopt suitable financial policy initiative to make sure enterprise growth speed close to sustainable growth ratio and have sustainable healthy development.

What makes an organisation financially sustainable?

To be financially sustainable, an organisation must:

- have more than one source of income;
- have more than one way of generating income;
- do strategic, action and financial planning regularly;
- have adequate financial systems;
- have a good public image;
- be clear about its values (value clarity); and
- have financial autonomy.

Source: CIVICUS "Developing a Financing Strategy".

6.1 Sustainable Growth Rate

The sustainable growth rate (SGR), concept by Robert C. Higgins, of a firm is the maximum rate of growth in sales that can be achieved, given the firm's profitability, asset utilization, and desired dividend payout and debt (financial leverage) ratios. The sustainable growth rate is a measure of how much a firm can grow without borrowing more money. After the firm has passed this rate, it must borrow funds from another source to facilitate growth. Variables typically include the net profit margin on new and existing revenues; the asset turnover ratio, which is the ratio of sales revenues to total assets; the assets to equity ratio; and the retention rate, which is defined as the fraction of earnings retained in the business.

SGR = ROE x (1- Dividend payment ratio)

Sustainable growth models assume that the business wants to:

1) maintain a target capital structure without issuing new equity;

2) maintain a target dividend payment ratio; and

3) increase sales as rapidly as market conditions allow.

Since the asset to beginning of period equity ratio is constant and the firm's only source of new equity is retained earnings, sales and assets cannot grow any faster than the retained earnings plus the additional debt that the retained earnings can support. The sustainable growth rate is consistent with the observed evidence that most corporations are reluctant to issue new equity. If, however, the firm is willing to issue additional equity, there is in principle no financial constraint on its growth rate. Indeed, the sustainable growth rate formula is directly predicted on return on equity.

Economists and business researchers contend that achieving sustainable growth is not possible without paying heed to twin cornerstones:

- growth strategy and
- growth capability.

Companies that pay inadequate attention to one aspect or the other are doomed to fail in their efforts to establish practices of sustainable growth (though short-term gains may be realized). After all, if a company has an excellent growth strategy in place but has not put the necessary infrastructure in place to execute that strategy, long-term growth is impossible. The reverse is also true.

The very weak idea of sustainability requires that the overall stock of capital assets should remain constant. The weak version of sustainability refers to preservation of critical resources to ensure support for all, over a long-time horizon. The strong concept of sustainability is concerned with the preservation of resources under the primacy of ecosystem functioning. These are in line with the definition provided by the economists in the context of sustainable development at macro level.

What makes an organisation sustainable?
In order to be sustainable, an organisation must: ➢ have a clear strategic direction; ➢ be able to scan its environment or context to identify opportunities for its work; ➢ be able to attract, manage and retain competent staff; ➢ have an adequate administrative and financial infrastructure; ➢ be able to demonstrate its effectiveness and impact in order to leverage further resources; and ➢ get community support for, and involvement in its work.

Source: CIVICUS "Developing a Financing Strategy".

The sustainable growth model is particularly helpful in situations in which a borrower requests additional financing. The need for additional loans creates a potentially risky situation of too much debt and too little equity. Either additional equity must be raised, or the borrower will have to reduce the rate of expansion to a level that can be sustained without an increase in financial leverage.

Mature firms often have actual growth rates that are less than the sustainable growth rate. In these cases, management's principal objective is finding productive uses for the cash flows that exist in excess of their needs. Options available to business in such cases includes returning the money to shareholders through increased dividends or common stock repurchases, reducing the firm's debt load, or increasing possession of lower earning liquid assets. These actions serve to decrease the sustainable growth rate. Alternatively, these firms can attempt to enhance their actual growth rates through the acquisition of rapidly growing companies.

Growth can come from two sources: increased volume and inflation. The inflationary increase in assets must be financed as though it were real growth. Inflation increases the amount of external financing required and increases the debt-to-equity ratio when this ratio is measured on a historical cost basis. Thus, if creditors require that a firm's historical cost debt-to-equity ratio stay constant, inflation lowers the firm's sustainable growth rate.

Mitsubishi Corporation (MC): New Strategic Direction (charting a new path toward sustainable growth)
Mitsubishi Corporation has abolished its traditional "*midterm management plan*" concept of committing to fixed financial targets three years in the future, in favour of a long-term, circa 2020 growth vision. The "*New Strategic Direction*" consists of basic concepts on management policy together with business and market strategies. It seeks to recognize the Company's value and upside potential as

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New amount of short-term loans and payables & provision $\left(\frac{3}{4} \times 7200\right)$	5400
Less: Existing Amount of short-term loans and payables & provision (2000 X 1.20 + 3000)	5400
Amount to be raised from short term funds	Nil

(2) Amount to be raised from Long Term Funds:

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New fixed assets (₹ 6000 + 20% of ₹ 6000)	7200
New long-term loans as per given condition (₹ 7200/1.5)	4800
Less: Existing long-term loans	4000
Amount to be raised from Long term funds	800

(3) Amount to be raised from Equity:

	(₹ in lakhs)
Amount to be raised from external sources	2256.00
Less: Amount to be raised from short term funds	----
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Balance amount to be raised from the new Equity	1456.00

Alternative Solution as per Formula Approach

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Let X be the new Short-Term Loan then meeting the given condition the Additional Requirement shall be computed as follows:

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X = 3000.00

New Short-Term Loans required	₹ 3000.00 lakhs
Less: Existing	₹ 3000.00 lakhs
Additional requirement	0.00 lakhs

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$$= \frac{4800}{3000 + 1456 + 2000 + 144} = 0.727$$

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